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MOTION TO COMPEL ARBITRATION AND TO STAY PROCEEDINGS

Motion filed on April 30, 2026

Moving Party: Defendant TY Investment LLC

Responding Party: Plaintiffs Jose Gracia-Medrano and Georgina Gracia-Medrano

Notice: OK.

Relief Requested: Order compelling plaintiffs to arbitrate all claims and staying or dismissing the action pending arbitration.

Ruling: Granted.

BACKGROUND

On March 30, 2026, Jose Gracia-Medrano (Plaintiff Jose Gracia-Medrano) and Georgina Gracia-Medrano (collectively, Plaintiffs) filed a verified Complaint against TY Investment LLC (Defendant TY), Total Lender Solutions, Inc. (TLS), and Does 1 through 20, asserting causes of action for (1) Violation of Civil Code section 2924(i), (2) Violation of Civil Code section 2924(f), (3) Breach of the Implied Covenant of Good Faith and Fair Dealing, (4) Violation of Business and Professions Code section 10242.5, and (5) Violation of Business and Professions Code section 17200 et seq.

Defendant TY filed this motion on April 30, 2026, supported by the declarations of Qi Hu and Luis F. Chaves. Plaintiffs opposed on June 30, 2026, supported by the declaration of Jose Gracia-Medrano. Defendant TY replied on July 2, 2026.

On July 15, 2026, the Court continued the hearing and ordered further briefing. Defendant TY filed its supplemental brief on July 24, 2026. Plaintiffs filed their supplemental brief on July 28, 2026.

LEGAL STANDARD

“[T]he petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence” (Giuliano v. Inland Empire Personnel, Inc. (2007) 149 Cal.App.4th 1276, 1284 (Giuliano).) “In determining whether an arbitration agreement applies to a specific dispute, the court may examine only the agreement itself and the complaint filed by the party refusing arbitration [citation]. The court should attempt to give effect to the parties’ intentions, in light of the usual and ordinary meaning of the contractual language and the circumstances under which the agreement was made.” (Weeks v. Crow (1980) 113 Cal.App.3d 350, 353.) “Doubts as to whether an arbitration clause applies to a particular dispute are to be resolved in favor of sending the parties to arbitration. The court should order them to arbitrate unless it is clear that the arbitration clause cannot be interpreted to cover the dispute.” (California Correctional Peace Officers Ass’n v. State (2006) 142 Cal.App.4th 198, 205.)

“[A] party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. [Citation.] In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court’s discretion, to reach a final determination.” (Giuliano, supra, 149 Cal.App.4th at p. 1284.)

“If a court of competent jurisdiction, whether in this State or not, has ordered arbitration of a controversy which is an issue involved in an action or proceeding pending before a court of this State, the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies. . . .” (Code Civ. Proc., § 1281.4.)

DISCUSSION

Existence of Agreement to Arbitrate

California has a strong public policy in favor of arbitration as an expeditious and cost-effective way of resolving disputes. “Even so, parties can only be compelled to arbitrate when they have agreed to do so.” (Avila v. Southern California Specialty Care, Inc. (2018) 20 Cal.App.5th 835, 843.) “The party seeking to compel arbitration bears the burden of proving the existence of a valid arbitration agreement.” (Ibid.) An arbitration agreement is a contractual agreement. “General contract law principles include that ‘[t]he basic goal of contract interpretation is to give effect to the parties’ mutual intent at the time of contracting. [Citations.] ... The words of a contract are to be understood in their ordinary and popular sense.’” (Garcia v. Expert Staffing W. (2021) 73 Cal.App.5th 408, 412-413.)

Here, on or around September 8, 2022, Plaintiffs obtained a \$175,000 loan from Defendant TY secured by a deed of trust against the property at 8455 Jamieson Avenue, Northridge, California. (Compl. ¶¶ 1, 7.) As part of the loan package, Plaintiffs executed a document titled “Arbitration Agreement.” (Hu Decl. ¶ 7, Ex. 7.) The Arbitration Agreement provides that “any Dispute involving the Loan, including, but not limited to claims arising from the origination, documentation, disclosure, servicing, collection or any other aspect of the Loan transaction or the coverage or enforceability of this Agreement, shall be resolved exclusively by binding arbitration under the terms of this Agreement.” (Hu Decl. ¶ 7, Ex. 7.) The Agreement defines “Dispute” to include claimed wrongdoing such as misrepresentation, negligence, breach of contract, breach of fiduciary duty, unconscionability, fraud in the inducement, rescission, breach of the covenant of good faith and fair dealing, unfair business practices, and claimed violations of state or federal laws concerning consumer credit, truth-in-lending, real estate settlement, fair lending, licensing, loan regulation, and unfair business practices. (Ibid.)

Plaintiffs do not dispute that they signed the Arbitration Agreement. (J. Medrano Decl. ¶¶ 5-6.) Plaintiffs likewise do not show that the claims in the Complaint fall outside the broad arbitration language. The Complaint challenges the loan, the asserted

failure to provide statements or balloon-payment notice, the notices of default and trustee's sale, the stated payoff amounts, default and late charges, and foreclosure activity. (Compl. ¶¶ 7-19, 20-77.) Those claims arise from the origination, documentation, disclosure, servicing, and collection of the loan. The Court finds an agreement to arbitrate by a preponderance of the evidence that applies to the dispute here. The Court now turns to Plaintiffs' defenses.

Consumer Loan v. Business Purpose Loan

Plaintiffs contend the loan was a consumer transaction in substance, notwithstanding the business-purpose certifications they signed, and that the Arbitration Agreement is therefore unenforceable under consumer protection standards.

A "consumer loan" is a loan, secured or unsecured, "the proceeds of which are intended by the borrower for use primarily for personal, family, or household purposes." (Fin. Code, § 22203.) "For purposes of determining whether a loan is a consumer loan, the lender may rely on any written statement of intended purposes signed by the borrower." (Ibid.) The lender "shall not be required to ascertain that the proceeds of the loan are used in accordance with the statement of intended purposes." (Ibid.) A "commercial loan" is a loan of a principal amount of \$5,000 or more, whether secured or unsecured, "the proceeds of which are intended by the borrower for use primarily for other than personal, family, or household purposes." (Fin. Code, § 22502.)

Here, Plaintiffs signed multiple written statements certifying the business purpose of the loan. On September 1, 2022, Plaintiffs certified the loan was "to provide additional funds to start my insurance agency business" and to purchase "an existing book of business from a retiring agent." (Hu Decl. ¶ 5, Ex. 4.) On September 8, 2022, Plaintiffs signed a notarized Certificate representing they understood the lender or broker "is in the business of making loans for commercial business purposes only and does not make consumer loans," that "this loan is not a consumer loan," and that the lender or broker "would not make a loan to Borrower if these statements proved incorrect." (Hu Decl. ¶ 5, Ex. 5.) Plaintiffs also signed handwritten notarized statements that the loan proceeds would be "used for business purpose use." (Hu Decl. ¶ 5, Ex. 6.) In opposition, Plaintiffs state that the proceeds were intended to fund a "personal entrepreneurial venture" to purchase "the book of business of a retiring insurance agent." (J. Medrano Decl. ¶ 10.)

Together, the evidence shows the loan proceeds were not intended primarily for "personal, family, or household purposes." (Fin. Code, § 22203.) Defendant TY was entitled to rely on Plaintiffs' written statements of intended purpose, and Defendant TY presents evidence it did so. (Hu Decl. ¶ 8.)

Plaintiffs' argument that the loan was a consumer transaction because the collateral was their primary residence and they are individuals rather than a business entity is unavailing. The statute does not define a consumer loan based on the nature of the collateral or the borrower's entity status. The statutory test is the borrower's intended use of the loan proceeds. Here, Plaintiffs repeatedly certified in writing that the intended use was for business purposes.

Plaintiffs therefore have not shown that the loan was a consumer loan or that consumer-protection standards provide a basis to deny enforcement of the Arbitration Agreement.

Prohibitively Expensive Arbitration Costs

Plaintiffs contend the cost of AAA commercial arbitration would be prohibitively expensive and would prevent them from vindicating their statutory rights.

The party resisting arbitration bears the burden of showing the likelihood of prohibitive arbitration costs. (Green Tree Financial Corp.-Alabama v. Randolph (2000) 531 U.S. 79, 90; Penilla v. Westmont Corp. (2016) 3 Cal.App.5th 205, 218.) Generalized assertions that arbitration is more expensive than litigation are insufficient. (Green Tree, supra, 531 U.S. at p. 90.)

Here, Plaintiffs offer only the assertion that “AAA commercial arbitration fees for a dispute of this magnitude can easily reach tens of thousands of dollars — far in excess of the cost of litigating in this Court.” (Opposition at p. 5.) Plaintiffs submit no AAA fee schedule, no evidence of likely arbitrator costs, and no declaration establishing their income, assets, liabilities, or inability to pay. Plaintiff Jose Gracia-Medrano states the loss of the home caused harm to his family, but he does not address Plaintiffs’ ability to pay arbitration costs. (J. Medrano Decl. ¶ 11.)

Moreover, the Arbitration Agreement provides that arbitration shall be conducted under AAA rules. (Hu Decl. ¶ 7, Ex. 7.) AAA Commercial Rule R-58 provides that AAA may allocate deposits among the parties and that the arbitrator may reallocate fees and costs in the final award. (Chaves Decl. ¶ 4.)

Plaintiffs have not met their burden of demonstrating that arbitration costs would be prohibitively expensive.

Fraud in the Inducement

Plaintiffs contend the Arbitration Agreement was procured through fraud.

“Fraud in the inducement . . . occurs when ‘the promisor knows what he is signing but his consent is induced by fraud, mutual assent is present and a contract is formed, which, by reason of the fraud, is voidable.’” (Rosenthal v. Great Western Fin. Securities Corp. (1996) 14 Cal.4th 394, 415.) “In order to defeat a petition to compel arbitration, the parties opposing a petition to compel must show that the asserted fraud claim goes specifically ‘to the “making” of the agreement to arbitrate,’ rather than to the making of the contract in general.” (Engalla v. Permanente Medical Group, Inc. (1997) 15 Cal.4th 951, 973.) Fraud requires “misrepresentation (false representation, concealment, or nondisclosure),” knowledge of falsity, intent to induce reliance, justifiable reliance, and resulting damage. (Id. at p. 974.) Claims that fraud induced consent specifically to the arbitration agreement, such as “by actively concealing its existence or misrepresenting its meaning or value,” are decided by the court. (Rosenthal, supra, 14 Cal.4th at p. 419.)

Here, Plaintiffs have not shown fraud in the inducement of the Arbitration Agreement. Plaintiff Jose Gracia-Medrano states no one from Evoque Lending or Defendant TY explained the Arbitration Agreement, identified it as a jury waiver, or advised Plaintiffs to consult an attorney before signing, and that the Agreement was not separately negotiated. (J. Medrano Decl. ¶¶ 7-8.) Those facts may bear on procedural unconscionability, but they do not establish fraud in the inducement. Plaintiffs identify no false statement about the Arbitration Agreement, no active concealment of the Agreement, and no representation that the Agreement had no legal effect. Nor is there evidence that the arbitral process is different from what the Agreement promised.

Plaintiffs have not established fraud as a basis to deny enforcement.

Unconscionability

Finally, Plaintiffs contend the Arbitration Agreement is unenforceable because it is unconscionable.

“‘The prevailing view is that [procedural and substantive unconscionability] must both be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability.’ [Citation.] But they need not be present in the same degree. ‘Essentially a sliding scale is invoked which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves.’ [Citation.] In other words, the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 114.)

1. Procedural Unconscionability

“‘Procedural unconscionability’ concerns the manner in which the contract was negotiated and the circumstances of the parties at that time. It focuses on factors of oppression and surprise. The oppression component arises from an inequality of bargaining power of the parties to the contract and an absence of real negotiation or a meaningful choice on the part of the weaker party. The component of surprise arises when the challenged terms are ‘hidden in a prolix printed form drafted by the party seeking to enforce them.’” (Nyulassy v. Lockheed Martin Corp. (2004) 120 Cal.App.4th 1267, 1281.) The analysis begins with whether the agreement is adhesive. (OTO, L.L.C. v. Kho (2019) 8 Cal.5th 111, 126.) A contract of adhesion is standardized, generally on a preprinted form, and offered by the party with superior bargaining power on a take-it-or-leave-it basis. (Ibid.) The circumstances relevant to oppression include the time given to consider the contract, the pressure exerted to sign, the length and complexity of the provision, the party’s education and experience, and whether review was aided by an attorney. (Id. at pp. 126-127.)

Here, Plaintiffs raise procedural unconscionability, but rely on the same facts asserted in support of their fraud-in-the-inducement argument. Plaintiffs contend the Arbitration Agreement was included in a multi-document loan package, was not separately negotiated, was not explained, and was presented as a required condition of the loan. (J. Medrano Decl. ¶¶ 5-8.)

The record supports some oppression. Plaintiff Jose Gracia-Medrano states the loan package included a promissory note, deed of trust, borrower’s certification, two Certificates of Business Purpose of Loan, handwritten business-purpose declarations, and a one-page Arbitration Agreement. (J. Medrano Decl. ¶ 5.) Plaintiffs signed the documents at a closing session and understood that all documents in the package were required conditions of the loan. (J. Medrano Decl. ¶¶ 6, 8.) Plaintiffs also state no one from Evoque Lending or Defendant TY explained the significance of the Arbitration Agreement, identified it as a waiver of jury trial, discovery, or appeal rights, or advised them to consult an attorney before signing. (J. Medrano Decl. ¶ 7.) These facts support the inference that the Agreement was presented on a take-it-or-leave-it basis with no meaningful opportunity to negotiate.

Under California law, a contract of adhesion “signifies a standardized contract, which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it.” (Armendariz, supra, 24 Cal.4th at p. 113, quoting Graham v. Scissor-Tail, Inc. (1981) 28 Cal.3d 807, 817.) A contract of adhesion inherently raises some degree of procedural unconscionability due to the lack of negotiation. (Baltazar v. Forever 21, Inc. (2016) 62 Cal.4th 1237, 1244.) Here, the Agreement bears hallmarks of a standardized form agreement, including its structured format and boilerplate arbitration provisions. (Hu Decl. ¶ 7, Ex. 7.) This supports some procedural unconscionability.

The showing of surprise, however, is limited. Plaintiffs argue the Waivers section is unconscionably broad because it states, in capital letters, that the parties “FREELY WAIVE THE RIGHT TO TRIAL BY JUDGE OR JURY, THE RIGHT TO APPEAL, FULL PRETRIAL DISCOVERY AND APPLICATION OF THE RULES OF EVIDENCE.” (Opp. at p. 7; Hu Decl. ¶ 7, Ex. 7.) Plaintiffs also contend the phrase “freely waive” is false because the Agreement was presented as part of an adhesion loan package. The argument does not show additional procedural surprise. The Arbitration Agreement was not hidden in a prolix printed form. It was a separate one-page document titled “Arbitration Agreement,” and the waiver provision appears in capital letters. (Hu Decl. ¶ 7, Ex. 7.) Plaintiffs characterize the closing as rushed and state they did not understand the significance of the Agreement, but present no evidence of the amount of time they were given to review the Agreement, no evidence of a specific deadline imposed by Defendant TY, and no evidence that Defendant TY concealed the Agreement or described it as something other than an arbitration agreement. A party generally is bound by an arbitration agreement regardless of whether the party read it or understood the arbitration clause before signing. (Brookwood v. Bank of America (1996) 45 Cal.App.4th 1667, 1674.)

Accordingly, even assuming the Agreement was adhesive and presented on a take-it-or-leave-it basis, the Court finds only a low degree of procedural unconscionability, stemming from its adhesive nature.

2. Substantive Unconscionability

Substantive unconscionability focuses on the actual terms of the agreement and evaluates whether they create overly harsh or one-sided results as to shock the conscience. (*Suh v. Superior Court* (2010) 181 Cal.App.4th 1504, 1515.) The paramount consideration in assessing substantive unconscionability is mutuality. (*Carmona v. Lincoln Millennium Car Wash, Inc.* (2014) 226 Cal.App.4th 74, 85.)

The California Supreme Court has held that a mandatory predispute arbitration agreement requiring arbitration of unwaivable statutory rights must provide for the following: (1) a neutral arbitrator; (2) adequate discovery; (3) availability of all types of relief that are otherwise available in court; (4) a written decision that will permit a limited form of judicial review; and (5) a provision that the employer, in employment cases, must pay for the arbitrator's fees and all costs unique to arbitration. (*Armendariz*, supra, 24 Cal.4th at p. 102.)

Here, the Arbitration Agreement satisfies these requirements.

a. Neutral Arbitrator

The Arbitration Agreement designates American Arbitration Association ("AAA") as the arbitration provider. (Hu Decl. ¶ 7, Ex. 7.) While it does not explicitly describe the method for selecting a neutral arbitrator, AAA is a well-regarded provider known for its neutrality. Absent any evidence that AAA's rules bias the selection process, the requirement for a neutral arbitrator is satisfied.

b. Adequate Discovery

Plaintiffs argue the waiver of "full pretrial discovery" impairs their ability to prove their claims. The Agreement, however, provides that "[r]easonable discovery shall be permitted pursuant to a written discovery plan determined by the arbitrator(s)." (Hu Decl. ¶ 7, Ex. 7.) Code of Civil Procedure section 1283.05, where applicable, likewise contemplates that parties may take depositions and obtain discovery in arbitration, subject to the arbitrator's control. (Code Civ. Proc., § 1283.05, subds. (a), (e).) Plaintiffs have not shown that reasonable discovery managed by a neutral arbitrator will be inadequate to vindicate their claims.

c. Availability of Remedies

The Agreement does not limit the remedies available to the arbitrator, but includes a carveout permitting the lender to pursue judicial or nonjudicial foreclosure, enjoin waste, collect rents, bring interpleader or receivership actions, recover possession or ejectment, seek relief from the automatic stay in bankruptcy, or obtain relief through governmental agencies. (Hu Decl. ¶ 7, Ex. 7.) The Agreement separately excludes actions for provisional remedies, without limiting that exclusion to the lender. (*Ibid.*)

"Mutuality is the 'paramount' consideration when assessing substantive unconscionability." (*Pokorny v. Quixtar, Inc.* (9th Cir. 2010) 601 F.3d 987, 997.) "[S]ubstantive unconscionability focuses on the one-sidedness of the contract terms. In the context of an arbitration agreement, the agreement is unconscionable unless there is a 'modicum of bilaterality' in the arbitration remedy." (*Flores v. Transamerica HomeFirst, Inc.* (2001) 93 Cal.App.4th 846, 854, quoting *Armendariz*, supra, 24 Cal.4th at p. 117.)

Plaintiffs argue the carveouts are one-sided because the Agreement excludes from arbitration "[a]ctions by the lender to judicially or non-judicially foreclose on the note and deed of trust . . . to recover possession, ejectment or relief from the automatic stay in bankruptcy, or to obtain relief through governmental agencies." (Opp. at p. 8; Hu Decl. ¶ 7, Ex. 7.) Plaintiffs contend those are "precisely the rights Defendant TY sought to exercise — and did exercise — in this case," such that Defendant TY reserves the right to use the courts to foreclose while requiring Plaintiffs to arbitrate any challenge to that foreclosure. (Opp. at p. 8.)

The argument is unpersuasive. “A contract term is not substantively unconscionable when it merely gives one side a greater benefit.” (Sanchez v. Valencia Holding Co., LLC (2015) 61 Cal.4th 899, 911 (Sanchez).) The unconscionability analysis is context-specific and may consider the “commercial setting, purpose, and effect” of the provision. (Id. at pp. 911-912.) A contract may also provide “a ‘margin of safety’” for the party with superior bargaining strength where there is a “legitimate commercial need.” (Id. at p. 912, quoting Armendariz, supra, 24 Cal.4th at p. 117.)

In Sanchez, the Supreme Court found “nothing unconscionable about exempting the self-help remedy of repossession from arbitration,” explaining that “[s]elf-help remedies are, by definition, sought outside of litigation, and they are expressly authorized by statute.” (Sanchez, supra, 61 Cal.4th at p. 922.) Although not all the proceedings excluded here are self-help remedies, Sanchez instructs that the commercial setting, purpose, and effect of the exclusions must be considered and that a benefit favoring the drafting party does not, without more, establish substantive unconscionability.

Here, the commercial setting supports the lender-side carveout. Plaintiffs certified in writing that the loan was for business purposes, and Plaintiff Jose Gracia-Medrano states the proceeds were intended to fund a personal entrepreneurial venture involving the purchase of an insurance agent’s book of business. (Hu Decl. ¶ 5, Exs. 4-6; J. Medrano Decl. ¶ 10.) In that business-purpose, secured-loan setting, the carveout principally preserves Defendant TY’s ability, as a secured lender, to protect or realize upon the real property collateral through foreclosure, collection of rents, receivership, possession, and bankruptcy-stay relief. (Hu Decl. ¶ 7, Ex. 7.) Nonjudicial foreclosure is analogous to the self-help repossession remedy considered in Sanchez, while the remaining identified proceedings are specialized proceedings associated with protecting or enforcing the lender’s security interest.

The Agreement otherwise broadly requires both sides to arbitrate disputes involving the loan, including claims for misrepresentation, negligence, breach of contract, fraud, rescission, statutory violations, and unfair business practices. (Ibid.) It also contains a bilateral carveout for provisional remedies. (Ibid.) Thus, the Agreement does not generally reserve Defendant TY’s contract, tort, statutory, or damages claims for judicial resolution.

Flores does not require a different result. There, the loan documents not only reserved foreclosure, setoff, and receivership remedies to the lender, but also reserved every remedy available at law or equity, made those remedies cumulative, and permitted the lender to exercise them notwithstanding a borrower’s pending arbitration. (Flores, supra, 93 Cal.App.4th at pp. 854-856.) Considered together, those provisions made arbitration functionally applicable to the borrowers’ claims but not the lender’s claims. (Ibid.)

Those cumulative provisions are absent here. The Agreement does not reserve every legal or equitable remedy to Defendant TY, declare its remedies cumulative, or authorize Defendant TY to pursue its remedies notwithstanding a pending arbitration. Defendant TY’s exercise of the possession carveout through its unlawful detainer action does not alter the Agreement’s overall operation or provide Defendant TY a judicial forum for resolving the parties’ broader disputes concerning the loan.

Considering the commercial setting, the purpose and limited scope of the lender-side carveout, the bilateral availability of provisional relief, and the low degree of procedural unconscionability, Plaintiffs have not shown that the Arbitration Agreement is so one-sided as to be substantively unconscionable.

d. Written Award

The Agreement provides that “[t]he arbitrator(s) shall render a statement of the reasons for the award.” (Hu Decl. ¶ 7, Ex. 7.)

Accordingly, the Court finds the Arbitration Agreement satisfies the Armendariz requirements. While Plaintiffs have shown, at most, a low degree of procedural unconscionability, Plaintiffs have not shown substantive unconscionability. The unconscionability defense does not provide a basis to deny enforcement of the Arbitration Agreement.

Stay

Because Plaintiffs' claims against Defendant TY are ordered to arbitration, and the claims against TLS arise from the same loan and foreclosure-related events and involve overlapping issues, the action is stayed in its entirety pending completion of arbitration. (Code Civ. Proc., § 1281.4.) Defendant TY's alternative request for dismissal is denied.

CONCLUSION

The motion is granted. Plaintiffs Jose Gracia-Medrano and Georgina Gracia-Medrano are ordered to arbitrate their claims against Defendant TY Investment LLC pursuant to the Arbitration Agreement.

The action is stayed in its entirety pending completion of arbitration. TY's request to dismiss the action, or to dismiss the claims against it, is denied.

The Court sets a Status Conference re Arbitration for January 14, 2027, at 8:30 a.m. in Department F-46.